Table 2. Ethiopia: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017/18–2038/39

(In percent of GDP, unless otherwise indicated)

	Actual	Projections								Average 5/	
	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
Public sector debt 1/	**58.5**	**54.0**	**51.5**	**49.2**	**47.2**	**45.2**	**43.0**	**30.9**	**12.5**	**46.1**	**43.8**
of which: external debt	**31.6**	**31.1**	**30.3**	**29.2**	**27.5**	**26.4**	**25.0**	**18.9**	**11.8**	**23.4**	**25.5**
Change in public sector debt	5.6	-4.6	-2.5	-2.2	-2.0	-2.1	-2.1	-2.5	-0.7		
Identified debt-creating flows	**0.1**	**-4.7**	**-2.6**	**-2.5**	**-2.2**	**-2.2**	**-2.2**	**-2.5**	**-1.4**	**-4.0**	**-2.6**
Primary deficit	**3.2**	**2.5**	**2.4**	**2.2**	**2.0**	**1.8**	**1.6**	**-0.5**	**-0.8**	**1.7**	**1.4**
Revenue and grants	13.7	14.4	13.7	13.8	14.0	14.3	15.5	19.5	23.1	**15.6**	**15.6**
of which: grants	0.8	1.4	0.6	0.5	0.5	0.4	0.4	0.2	0.2		
Primary (noninterest) expenditure	16.9	17.0	16.2	16.0	16.0	16.1	17.1	19.0	22.3	**17.3**	**17.0**
Automatic debt dynamics	**-2.7**	**-7.2**	**-5.0**	**-4.7**	**-4.2**	**-4.0**	**-3.8**	**-2.0**	**-0.6**		
Contribution from interest rate/growth differential	-5.0	-6.7	-5.0	-4.8	-4.4	-4.2	-4.0	-2.1	-0.7		
of which: contribution from average real interest rate	-1.2	-2.1	-1.2	-1.4	-1.2	-1.1	-1.0	-0.2	-0.2		
of which: contribution from real GDP growth	-3.8	-4.6	-3.8	-3.4	-3.2	-3.1	-3.0	-2.0	-0.6		
Contribution from real exchange rate depreciation	2.3	-0.5	0.1	0.1	0.2	0.1	0.1	...	...		
Other identified debt-creating flows	**-0.5**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.2**	**0.0**
Privatization receipts (negative)	-0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**5.6**	**0.1**	**0.1**	**0.2**	**0.2**	**0.1**	**0.1**	**0.0**	**0.7**	**6.0**	**0.1**
Sustainability indicators											
PV of public debt-to-GDP ratio	**49.2**	**44.2**	**41.4**	**39.2**	**37.4**	**35.4**	**33.6**	**23.1**	**8.5**		
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
PV of public debt-to-revenue and grants ratio	**360.5**	**306.3**	**301.5**	**283.2**	**268.1**	**247.4**	**216.4**	**118.3**	**36.8**		
PV of public debt-to-revenue ratio	**384.1**	**339.4**	**316.2**	**294.9**	**277.4**	**254.9**	**221.7**	**119.7**	**37.2**		
Debt service-to-revenue and grants ratio 2/	**26.2**	**72.8**	**73.1**	**68.4**	**61.3**	**55.2**	**46.0**	**22.5**	**3.1**		
Debt service-to-revenue ratio 2/	**27.9**	**80.7**	**76.7**	**71.3**	**63.5**	**56.9**	**47.2**	**22.7**	**3.2**		
Gross financing need 3/	6.8	13.0	12.5	11.7	10.6	9.7	8.7	3.9	-0.1		
Key macroeconomic and fiscal assumptions											
Real GDP growth (in percent)	7.7	8.5	7.6	7.1	7.0	7.0	7.0	6.2	4.5	**9.8**	**7.0**
Average nominal interest rate on public debt (in percent)	2.7	1.7	2.1	2.1	2.1	2.3	2.5	3.9	1.2	**3.0**	**2.6**
Average nominal interest rate on forex debt (in percent)	2.5	1.7	2.0	1.9	1.7	1.6	1.5	1.0	1.1	**2.2**	**1.5**
Average real interest rate (in percent)	-2.5	-3.9	-2.5	-2.9	-2.5	-2.4	-2.3	-0.6	-1.4	**-4.0**	**-2.2**
Average real interest rate on foreign-currency debt (in percent)	-1.2	-1.8	-1.8	-2.0	-1.9	-1.9	-2.0	-2.0	-2.0	**-1.6**	**-1.9**
Average real interest rate on domestic debt (in percent)	-6.7	-8.3	-6.0	-5.8	-5.1	-4.8	-4.4	-0.2	-5.1	**-7.9**	**-4.2**
Real exchange rate depreciation (in percent, + indicates depreciation)	8.8	-1.7	...	...	...	...	...	...	...	**0.4**	**...**
Inflation rate (GDP deflator, in percent)	9.9	10.9	8.7	8.6	8.2	8.5	8.5	8.2	8.2	**13.2**	**8.7**
Growth of real primary spending (deflated by GDP deflator, in percent)	2.0	9.2	2.5	6.2	6.8	7.9	13.6	7.1	8.6	**2.7**	**8.3**
Grant element of new external borrowing (in percent)	...	51.0	43.8	44.9	47.4	46.9	47.6	49.0	31.4	**...**	**47.4**
Primary deficit that stabilizes the debt-to-GDP ratio 4/	-2.4	7.1	4.9	4.4	4.0	3.9	3.7	2.0	-0.1	**0.2**	**3.9**

Sources: Country authorities; and staff estimates and projections.
1/ The entire public sector, including SOEs. Definition of external debt is Currency-based.
2/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.
3/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.
4/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.
5/ Historical averages are generally derived over the past 10 years, subject to data availability. Projections averages is the first year of projection and the next 10 years.

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